

Internal Liquidity Adequacy Assessment

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1

Application and Definitions

1.1

This Part applies to a _CRR firm_ save that 14.2, 14.2A, 14.3, 14.6, 14.6A, 14.7 and 14.8 apply, as appropriate, to an _Article 109 undertaking_.

1.2

In this Part, the following definitions shall apply:

Delegated Regulation

means Commission Delegated Regulation (EU) 2015/61 of 10 October 2014 to supplement Regulation (EU) No 575/2013 of the European Parliament and the Council with regard to liquidity coverage requirement for Credit Institutions.

funding risk

means the risk that a _firm_ does not have stable sources of funding in the medium and long term to enable it to meet its financial obligations, such as payments or collateral calls, as they fall due, either at all or only at excessive cost.

Internal Liquidity Adequacy Assessment Process (ILAAP)

means the process for the identification, measurement, management and monitoring of liquidity implemented by the _firm_ in accordance with 3 ? 13.

liquidity contingency plan

a plan for dealing with liquidity crises as required by 12.1.

liquidity coverage ratio

means the ratio calculated in accordance with Article 4(1) of the _Delegated Regulation_.

liquidity risk

means the risk that a _firm_ , although solvent, does not have available sufficient financial resources to enable it to meet its obligations as they fall due.

overall liquidity adequacy rule

means the rule in 2.1.

1.3

Unless otherwise defined, any italicised expression used in this Part and in the *_CRR_* has the same meaning as in the *_CRR_*.

2

Overall Liquidity Adequacy Rule

2.1

A *_firm_* must at all times maintain liquidity resources which are adequate, both as to amount and quality, to ensure that there is no significant risk that its liabilities cannot be met as they fall due.

2.2

For the purposes of the *_overall liquidity adequacy rule_*:

1. (1) a *_firm_* also must ensure that:

1. (a) its liquidity resources contain an adequate buffer of high quality, unencumbered assets; and

2. (b) it maintains a prudent funding profile; and

2. (2) a *_firm_* may not include liquidity resources that may be made available through emergency liquidity assistance from a central bank.

3

Overall Strategies, Processes and Systems

3.1

As part of the *_overall liquidity adequacy rule_*, a *_firm_* must have in place robust strategies, policies, processes and systems that enable it to identify, measure, manage and monitor *_liquidity risk_* and *_funding risk_* over an appropriate set of time horizons, including intra-day, so as to ensure that it maintains adequate levels of liquidity buffers and an appropriate funding profile. These strategies, policies, processes and systems must be tailored to business lines, currencies, *_branches_* and legal entities and must include adequate allocation mechanisms of liquidity costs, benefits and risks.

[Note: Art. 86(1) of the *_CRD_*]

3.2

The strategies, policies, processes and systems referred to in 3.1 must be proportionate to the complexity, risk profile and scope of operation of the *_firm_*, and the *_liquidity risk_* appetite and *_funding risk_* appetite set by the *_firm?s_* *_management body_* in accordance with 4, and must reflect the *_firm?s_* importance in each country in which it carries on business.

[Note: Art. 86(2) (part) of the *_CRD_*]

3.3

A *_firm_* must, taking into account the nature, scale and complexity of its activities, have *_liquidity risk_* profiles and *_funding risk_* profiles that are consistent with and not in excess of those necessary for a well-functioning and robust system.

[Note: Art. 86(3) of the _CRD_]

3.4

A _firm_ must put in place risk management policies to define its approach to asset encumbrance, as well as procedures and controls that ensure that the risks associated with collateral management and asset encumbrance are adequately identified, monitored and managed.

4

Liquidity Risk Appetite and Funding Risk Appetite

4.1

A _firm_ must ensure that:

1. (1) its _management body_ establishes the _firm's_ liquidity risk_ appetite and _funding risk_ appetite and that this is appropriately documented;
2. (2) its _liquidity risk_ appetite and _funding risk_ appetite are appropriate for its business strategy and reflect its financial condition and funding capacity; and
3. (3) its _liquidity risk_ appetite and _funding risk_ appetite are communicated to all relevant business lines.

[Note: Art. 86(2) (part) of the _CRD_]

5

Intra-Day Management of Liquidity

5.1

A _firm_ must actively manage its intra-day liquidity positions and any related risks so that it is able to meet its payment and settlement obligations on a timely basis.

5.2

For the purposes of 5.1, a _firm_ must ensure that its intra-day liquidity management arrangements enable it:

1. (1) to meet its payment and settlement obligations on a timely basis under both normal financial conditions and under the stresses required by 11.3;
2. (2) to identify and prioritise the most time-critical payment and settlement obligations; and
3. (3) in relation to the markets in which it is active and the currencies in which it has significant positions, to measure, monitor and deal with intra-day _liquidity risk_. A _firm_ must in particular be able to:
 1. (a) measure expected daily gross liquidity inflows and outflows, anticipate the intra-day timing of these flows where possible, and forecast the range of potential net funding shortfalls that might arise at different points during the day; and
 2. (b) manage the timing of its liquidity outflows such that priority is given to the _firm's_ most time-critical payment obligations.

6

Transfer Pricing System

6.1

A _firm_ must implement an adequate transfer pricing system to ensure that it accurately quantifies liquidity and funding costs, benefits and risk in relation to all significant business activities.

7

Management of Collateral

7.1

A _firm_ must actively manage collateral positions.

7.2

A _firm_ must distinguish between pledged and unencumbered assets that are available at all times, in particular during emergency situations. A _firm_ must also take into account the legal entity in which assets reside, the country where assets are legally recorded either in a register or in an account as well as their eligibility and must monitor how assets can be mobilised in a timely manner.

[Note: Art. 86(5) of the _CRD_]

8

Managing Liquidity Across Legal Entities, Business Lines, Countries and Currencies

8.1

A _firm_ must actively manage its _liquidity risk_ exposures and related funding needs and take into account:

1. (1) existing legal, regulatory and operational limitations to potential transfers of liquidity and unencumbered assets amongst entities, both within and outside the _UK_ ; and

[Note: Art. 86(6) of the _CRD_]

2. (2) any other constraints on the transferability of liquidity and unencumbered assets across business lines, countries and currencies.

9

Funding Diversification and Market Access

9.1

A _firm_ must ensure that it has access to funding which is adequately diversified, both as to source and tenor.

9.2

A _firm_ must develop methodologies for the identification, measurement, management and monitoring of funding positions. Those methodologies must include the current and projected material cash-flows in and arising from assets, liabilities, off-balance-sheet items, including contingent liabilities and the possible impact of reputational risk.

[Note: Art. 86(4) of the _CRD_]

10

Management of Asset Encumbrance

10.1

A _firm_ must actively manage its asset encumbrance position.

10.2

For the purpose of 10.1 a _firm_ must ensure that:

1. (1) its risk management policies take into account:

1. (a) the _firm's_ business model;
2. (b) the countries in which it operates;
3. (c) the specificities of the funding markets; and
4. (d) the macroeconomic situation; and

2. (2) its _management body_ receives timely information on:

1. (a) the current and expected level and types of asset encumbrance and related sources of encumbrance, such as secured funding or other transactions;
2. (b) the amount, expected level and credit quality of unencumbered assets that are capable of being encumbered, specifying the volume of assets available for encumbrance; and
3. (c) the expected amount, level and types of additional encumbrance that may result from stress scenarios.

10.3

For the purpose of this Chapter a _firm_ must treat an asset as encumbered if it is subject to any form of arrangement to secure, collateralise or credit enhance any transaction.

11

Stress Testing

11.1

A _firm_ must consider different _liquidity risk_ mitigation tools, including a system of limits and liquidity buffers in order to be able to withstand a range of different stress events and an adequately diversified funding structure and access to funding sources. It must review those arrangements regularly.

[Note: Art. 86(7) of the _CRD_]

11.2

A _firm_ must consider alternative scenarios on liquidity positions and on risk mitigants and must review the assumptions underlying decisions concerning the funding position at least once every two years in the case of an SDDT or SDDT consolidation entity and at least annually in the case of any other _firm_. For these purposes, alternative scenarios must address, in particular, off-balance sheet items and other contingent liabilities, including those of _securitisation special purpose entities_ or other special purpose entities, as referred to in the CRR in relation to which the _firm_ acts as _sponsor_ or provides material liquidity support.

[Note: Art. 86(8) of the _CRD_]

11.3

A firm must:

1. (1) conduct on a regular basis appropriate stress tests so as to:

1. (a) identify sources of potential liquidity strain;
 2. (b) ensure that current liquidity exposures continue to conform to the _liquidity risk_ and _funding risk_ appetite established by that _firm's management body_; and
 3. (c) identify the effects on that _firm's_ assumptions about pricing; and
2. (2) analyse on a regular basis the separate and combined impact of possible future liquidity stresses on its:
1. (a) cash flows;
 2. (b) liquidity position;
 3. (c) profitability; and
 4. (d) solvency.

11.4

A _firm_ must consider the potential impact of institution-specific, market-wide and combined alternative scenarios. Different time periods and varying degrees of stressed conditions must be considered.

[Note: Art. 86(9) of the _CRD_]

11.5

In carrying out the liquidity stress tests required by 11.3, a _firm_ must make appropriate assumptions around the major sources of risk, including the major sources of risk in each of the following categories where they are relevant to the _firm_ given the nature and scale of its business:

1. (1) retail _funding risk_ ;
2. (2) wholesale secured and unsecured _funding risk_ ;
3. (3) risks arising from the correlation between funding markets and lack of diversification between funding types;
4. (4) off-balance sheet _funding risk_ ;
5. (5) risks arising from the _firm's_ funding tenors;
6. (6) risks associated with a deterioration of a _firm's_ credit rating;
7. (7) cross currency _funding risk_ ;
8. (8) risk that liquidity resources cannot be transferred across entities, sectors and countries;
9. (9) _funding risks_ resulting from estimates of future balance sheet growth;
10. (10) franchise risk;
11. (11) marketable assets risk;
12. (12) non-marketable assets risk;
13. (13) internalisation risk; and
14. (14) intra-day risk.

11.6

A _firm_ must ensure that its _management body_ reviews regularly the stresses and scenarios tested to ensure that their nature and severity remain appropriate and relevant to the _firm_.

11.7

A _firm_ must ensure that the results of its stress tests are:

1. (1) reviewed by its _senior management_ ;
2. (2) reported to that _firm's management body_, specifically highlighting any vulnerabilities identified and proposing appropriate remedial action;

3. (3) reflected in the processes, strategies and systems established in accordance with 3.1;
4. (4) used to develop effective _liquidity contingency plans_ ;
5. (5) integrated into that ___firm's_ business planning process and day-to-day risk management; and
6. (6) taken into account when setting internal limits for the management of that ___firm's_ liquidity risk_ exposure.

11.8

A _firm_ must report the results of its liquidity stress tests to the _PRA_ in a timely manner.

12

Liquidity Contingency Plan

12.1

A _firm_ must adjust its strategies, internal policies and limits on _liquidity risk_ and _funding risk_ and develop an effective _liquidity contingency plan_ , taking into account the outcome of the alternative scenarios referred to in 11.2.

[Note: Art. 86(10) of the _CRD_]

12.2

The _liquidity contingency plan_ must include strategies to address the contingent encumbrance resulting from relevant stress events including downgrades in the _firm's_ credit rating, devaluation of pledged assets and increases in margin requirements.

12.3

The _liquidity contingency plan_ must also set out adequate strategies and proper implementation measures in order to address possible liquidity shortfalls. Those plans must be tested at least annually, updated on the basis of the outcome of the alternative scenarios set out in 11.2, and be reported to and approved by the _firm's senior management_ , so that internal policies and processes can be adjusted accordingly.

[Note: Art. 86(11) (part) of the _CRD_]

12.4

A _firm_ must take the necessary operational steps in advance to ensure that _liquidity contingency plans_ can be implemented immediately, including holding collateral immediately available for central bank funding. This includes holding collateral where necessary in the currency of a _third country_ to which the _firm_ has exposures, and where operationally necessary within the territory of the _third country_ to whose currency it is exposed.

[Note: Art. 86(11) (part) of the _CRD_]

13

Internal Liquidity Adequacy Assessment Process

13.1

A _firm_ must ensure that:

1. (1) it regularly, but at least once every two years in the case of an SDDT or SDDT consolidation entity and at least annually in the case of any other firm, reviews its _ILAAP_ ;

2. (2) it regularly carries out an internal assessment of the adequacy of its liquidity and funding in accordance with its _ILAAP_;
3. (3) the assessment in (2) is proportionate to the nature, scale and complexity of its activities and includes an assessment of:
 1. (a) the adequacy of its liquidity and funding resources to cover the risks identified in accordance with this Part;
 2. (b) the methodologies and assumptions applied for risk measurement and liquidity management;
 3. (c) the results of the stress tests required by 11.3; and
 4. (d) the _firm?s_ compliance with this Part;
4. (4) its _ILAAP_ identifies those of the measures set out in its _liquidity contingency plans_ that it would implement.

13.2

A _firm_ must make a written record of its _ILAAP_ and the assessments required under this Part and maintain such record for at least three years.

13.3

A _firm_ must ensure that its _management body_ approves the _firm?s_ _ILAAP_.

14

Application of this Part on an Individual or Domestic Liquidity Sub-Group Basis and a Consolidated Basis

14.1

1. (1) This Part applies to a _firm_ on an individual basis unless (2) applies.
2. (2) A _firm_ must comply with this Part at the level of its _domestic liquidity sub-group_ where the _PRA_ has granted the firm ___ permission under 2.2 of the Liquidity (CRR) Part Part") of the _PRA_ Rulebook.
3. [Note: This rule corresponds to Article 8(5) of the _CRR_ as it applied immediately before revocation by the _Treasury_]
4. (3) (1) and (2) apply to a _firm_ whether or not this Part applies to the _firm_ on a _consolidated basis_.

* Future version of 14.1 after 01/01/2027

14.1A

If this Part applies to a _firm_ on an individual basis, the _firm_ must comply with the rules in this Part to the same extent and in the same manner as it is required to comply with the _firm?s_ obligations laid down in Part Six of the _CRR_.

* Future version of 14.1A after 01/01/2027

14.2

Where a _firm_, a _PRA approved parent holding company_, a _PRA designated parent holding company_, a _PRA designated intermediate holding company_ or a _PRA designated institution_ is a member of a _consolidation group_, that _person_ must ensure that the arrangements, processes and mechanisms at the level of the _consolidation group_ of which it is a member comply with the obligations set out in 3 ? 13 on a _consolidated basis_.

14.2A

Where a _firm_, a _PRA approved intermediate holding company_, a _PRA designated intermediate holding

company_ , a _PRA designated parent holding company_ or a _PRA designated institution_ is a member of a _sub-consolidation group_ , that person must ensure that the arrangements, processes and mechanisms at the level of the _sub-consolidation group_ of which it is a member comply with the obligations set out in 3 ? 13 on a _sub-consolidated basis_.

* Future version of 14.2A after 01/01/2027

14.3

Compliance with 14.2 and 14.2A must enable the _consolidation group_ to have arrangements, processes and mechanisms that are consistent and well integrated and that any data relevant to the purpose of supervision can be produced.

[Note: Art 109(2) (part) of the _CRD_]

* Future version of 14.3 after 01/01/2027

14.4

A _firm_ which is a _UK parent institution_ must comply with this Part on the basis of its _consolidated situation_.

* Future version of 14.4 after 01/01/2027

14.5

[blank]

14.6

A _PRA designated institution_ controlled by a _UK parent financial holding company_ or by a _UK parent mixed financial holding company_ must comply with this Part on the basis of the _consolidated situation_ of that holding company..

14.6A

A _PRA approved parent holding company_ or a _PRA designated parent holding company_ must comply with this Part on the basis of its _consolidated situation_ and a _PRA designated intermediate holding company_ responsible for compliance with the _CRR_ on a _consolidated basis_ must comply with this Part on the basis of the _consolidated situation_ of the _UK parent financial holding company_ or _UK parent mixed financial holding company_.

* Future version of 14.6A after 01/01/2027

14.7

[Deleted.]

* Future version of 14.7 after 01/01/2027

14.8

If this Part applies to an _Article 109 undertaking_ on a _consolidated basis_ or on a _sub-consolidated basis_ , the _Article 109 undertaking_ must carry out consolidation to the same extent and in the same manner as it is required to comply with the obligations laid down in Part Six of the _CRR_ on a _consolidated basis_ or _sub-consolidated basis_.

* Future version of 14.8 after 01/01/2027

15

Introduction of the Liquidity Coverage Ratio

15.1

The applicable _liquidity coverage ratio_ for the purpose of Article 38(2) _Delegated Regulation_ shall be:

1. (1) 80% as from 1 October 2015;
2. (2) 90% as from 1 January 2017; and
3. (3) 100% as from 1 January 2018.

16

Transitional Provision (Deleted)

16.1

[Deleted.]